Kosmos Energy

Deleveraging decelerating

Reiterate Rating: UNDERPERFORM | PO: 1.70 USD | Price: 2.85 USD

Key takeaways

- Net debt down again in 3Q26 but at reduced pace. We see a further slowdown in 4Q
- New 4Q26 production guidance implies FY at low end of previously issued range. We lower our production estimate by 4%
- YTD rally leaves valuation looking expensive. New $1.70 PO (Underperform)

Delving into the deleveraging

3Q26 marked another quarter of debt reduction for Kosmos but at a reduced pace versus 1H26 (see Exhibit 3). And as we highlighted following 2Q26 results (see Kosmos Energy: Net debt lighter, but inorganic flows do the heavy lifting), we again flag that 65% of the YTD reduction in net debt results from inorganic cash flows. With reduced avenues for inorganic flows from here, we project a further slowdown in deleveraging in 4Q and remain of the view that the equity story remains dominated by debt (see Exhibit 15 to Exhibit 17 for debt benchmarking versus E&P peers).

New 4Q guidance implies lower end of FY range

Alongside 3Q26 results, KOS issued 4Q26 guidance for the first time. Bridging the new guidance to FY26 implies FY26 production now guided at the low end of the previously issued range (~69-70kboe/d vs. 69-74kboe/d previous and VA at ~73kboe/d). The downgrade is a result of lower Gulf production and some post-drilling decline at Jubilee. As a result, we lower our production estimate to 69kboe/d resulting in a >25% reduction to our FY26 CFFO estimate and a reduction in our PO to now $1.70 (127GBp) from $1.90 (141GBp) implying >30% downside potential to the current share price.

Valuation closer to Big Oils than E&P peers

KOS' YTD share price rally results in a valuation that is disconnected from both its own fundamentals, and its peers. On our numbers, Kosmos now trades on >3.5x 2027 EV/EBITDA, versus other E&Ps on ~2x and even trades closer to the European Big Oils than E&P peers (see Exhibit 12 to Exhibit 14). Needless to say, we see risk/reward skewed to the downside. We also highlight potential elevated operational risk from Tullow's recent ICC tax dispute ruling. As a result, we reiterate our Underperform rating.

Estimates (Dec) (USD)	2024A	2025A	2026E	2027E	2028E
EPS (Adjusted Diluted)	0.40	(1.47)	0.22	0.37	0.30
EPS Change (YoY)	-10.3%	-467.9%	114.9%	69.8%	-17.8%
GDR EPS (Adjusted Diluted - £)	31.2	(111)	16.3	27.7	22.7
Valuation (Dec)					
P/E	7.16x	NM	13.1x	7.69x	9.36x
EV / EBITDA*	4.98x	30.6x	4.95x	4.40x	4.69x
Free Cash Flow Yield*	-24.2%	-19.7%	22.7%	14.5%	14.6%

* For full definitions of IQmethod℠ measures, see page 12.

03 November 2026

Equity

Key Changes

(US$)	Previous	Current
Price Obj.	1.90	1.70
2026E EPS	0.57	0.22
2027E EPS	0.35	0.37
2028E EPS	0.29	0.30

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Stock Data

Price (Common / GDR)	2.85 USD / 183.00 GBp
Price Objective	1.70 USD / 127.00 GBp
Date Established	3-Nov-2026 / 3-Nov-2026
Investment Opinion	C-3-9 / C-3-9
52-Week Range	0.836 USD-3.34 USD
Market Value (mn)	1,697 USD
Shares Outstanding (mn)	595.5 / 595.5
Average Daily Value (mn)	38.65 USD
Free Float	96.0%
BofA Ticker / Exchange	KOS / NYS
BofA Ticker / Exchange	XKELF / LSE
Bloomberg / Reuters	KOS US / KOS.N
ROE (2026E)	17.6%
Net Dbt to Eqty (Dec-2025A)	560.2%

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iQprofile℠ Kosmos Energy

Key Income Statement Data (Dec)	2024A	2025A	2026E	2027E	2028E
(US$ Millions)					
Sales	1,676	1,292	1,931	1,590	1,475
EBITDA Adjusted	895	146	901	1,012	950
Depreciation & Amortization	(457)	(557)	(457)	(454)	(495)
EBIT Adjusted	438	(411)	444	558	455
Net Interest & Other Income	(88.6)	(223)	(220)	(220)	(177)
Tax Expense / Benefit	(160)	(65.2)	(101)	(118)	(97.3)
Net Income (Adjusted)	190	(700)	123	220	181
Average Fully Diluted Shares Outstanding	477	478	564	593	593
Key Cash Flow Statement Data					
Net Income (Reported)	190	(700)	123	220	181
Depreciation & Amortization	457	557	457	454	495
Change in Working Capital	(43.9)	(69.4)	(20.0)	0	0
Deferred Taxation Charge	0	0	0	0	0
Other CFO	75.5	346	(9.29)	(17.4)	(11.5)
Cash Flow from Operations	**678**	**134**	**551**	**656**	**665**
Capital Expenditure	(934)	(314)	(301)	(400)	(414)
(Acquisition) / Disposal of Investments	0	0	0	0	0
Other CFI	(32.4)	(86.8)	116	(11.5)	(4.00)
Cash Flow from Investing	**(966)**	**(401)**	**(185)**	**(411)**	**(418)**
Share Issue / (Repurchase)	0	0	206	0	0
Cost of Dividends Paid	0	0	0	0	0
Increase (decrease) debt	354	308	(15.0)	(160)	(835)
Other CFF	(79.5)	(8.39)	0	0	0
Cash Flow from Financing	**274**	**300**	**191**	**(160)**	**(835)**
Total Cash Flow (CFO + CFI + CFF)	**(13.5)**	**32.5**	**557**	**85.1**	**(588)**
FX and other changes to cash	3.11	(25.9)	0	0	0
Change in Cash	(10.4)	6.55	557	85.1	(588)
Change in Net Debt	364	302	(572)	(245)	(247)
Net Debt	2,660	2,961	2,390	2,144	1,898
Key Balance Sheet Data					
Property, Plant & Equipment	4,444	3,734	3,451	3,397	3,308
Goodwill	0	0	0	0	0
Other Intangibles	0	0	0	0	0
Other Non-Current Assets	419	535	440	441	452
Trade Receivables	165	103	103	103	103
Cash & Equivalents	85.0	91.5	648	733	145
Other Current Assets	196	233	253	253	253
Total Assets	5,309	4,697	4,895	4,927	4,261
Long-Term Debt	2,745	2,921	2,906	2,746	1,910
Other Non-Current Liabilities	769	675	505	453	418
Short-Term Debt	0	132	132	132	132
Other Current Liabilities	595	440	480	504	528
Total Liabilities	4,109	4,168	4,023	3,835	2,988
Total Equity	1,200	529	872	1,092	1,273
Total Equity & Liabilities	5,309	4,697	4,895	4,927	4,261
Business Performance*					
Return On Capital Employed	6.29%	-3.77%	8.42%	11.5%	10.1%
Return On Equity	17.0%	-80.9%	17.6%	22.4%	15.3%
Operating Margin	26.2%	-31.8%	23.0%	35.1%	30.8%
Free Cash Flow (MM)	(324)	(268)	365	245	247
Quality of Earnings*					
Cash Realization Ratio	3.57x	NM	4.47x	2.99x	3.68x
Asset Replacement Ratio	2.04x	0.56x	0.66x	0.88x	0.84x
Tax Rate	45.7%	NM	45.0%	35.0%	35.0%
Net Debt/Equity	222%	560%	274%	196%	149%
Interest Cover	NA	NA	NA	NA	NA

* For full definitions of *iQmethod*℠ measures, see page 12.

Company Sector

Oil & Gas Producers

Company Description

Kosmos is a conventional oil and gas E&P company with assets across the U.S. Gulf of Mexico, Ghana, Senegal and Mauritania. It has production from assets offshore Ghana, Mauritania, Senegal and the Gulf of America. Its key producing and development assets include the Jubilee and TEN fields in Ghana, the GTA LNG project offshore Mauritania and Senegal, and producing assets in the Gulf of America. Production is guided to 69-74kboe/d this year following the sale of Equatorial Guinea assets.

Investment Rationale

We see Kosmos carrying an elevated debt load, and we see limited deleveraging even at our $82/bbl Brent oil price forecast in 2026. Operational performance, especially in Ghana, also presents downside risks. We have an Underperform rating.

Stock Data

Shares / GDR	1.00
Price to Book Value	1.8x

Key Changes

(GBp)	Previous	Current
Price Obj.	141.00	127.00
2026E EPS	42.58	16.29
2027E EPS	26.35	27.66
2028E EPS	21.93	22.74

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Delving into the deleveraging

Inorganic cash flows make up the bulk of the decline

As we noted with 2Q26 results, the majority of Kosmos' YTD deleveraging is a result of inorganic activity (equity raise and disposal proceeds). To be precise, out of the $509m YTD net debt reduction, only 35% (~$175m) of the total stems from operations.

On the surface a decline in net debt of >$0.5bn (or ~17%) since the beginning of the year, is impressive. However, once considering the sources of these cash flows (the majority of which attributable to inorganic sources), we feel less weight should be placed on the reduction.

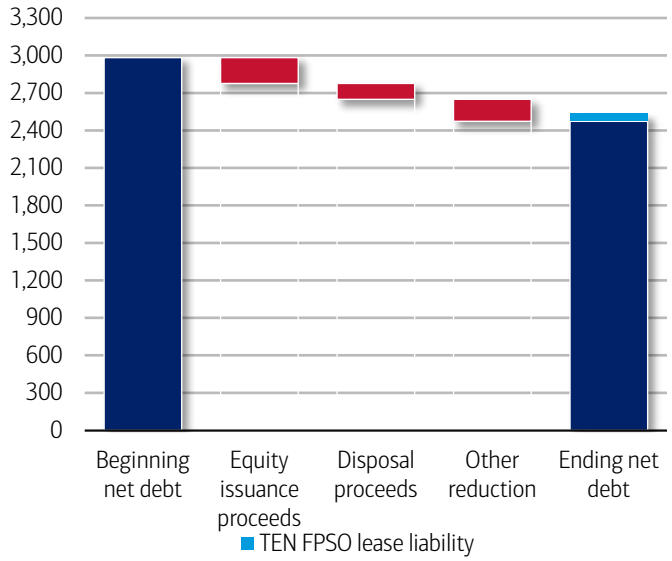
Equity issuance and disposal proceeds do the heavy lifting

Since the beginning of the year, Kosmos has raised >$200m through equity issuance and a further >$125m through the sale of its Equatorial Guinea assets – leaving just ~$175m attributable to other sources (including underlying organic cash flows).

Net debt still amounts to 1.7x market cap when considering lease liability

We note that the TEN FPSO finance lease liability amounting to ~$70m at the end of the third quarter is not included in the headline net debt figure. Once accounting for this liability, net debt amounts to still >$2.5bn (or 1.7x its current market cap).

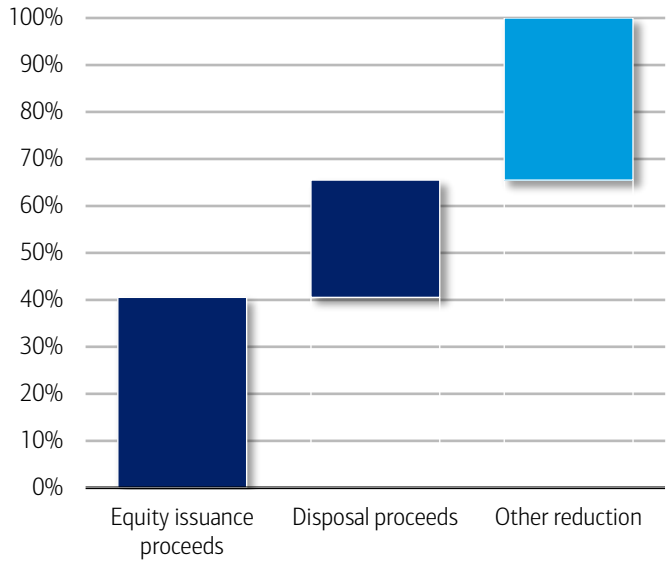
Exhibit 1: Kosmos has used equity issuance and disposals to decrease net debt YTD
Kosmos net debt bridge YE25 to 3Q26 ($m)



Source: BofA Global Research, company reports

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Exhibit 2: We calculate ~40% of the net debt reduction is attributable to Kosmos' equity issuance earlier this year
Net debt reduction by source YE25 to 3Q26



Source: BofA Global Research, company reports

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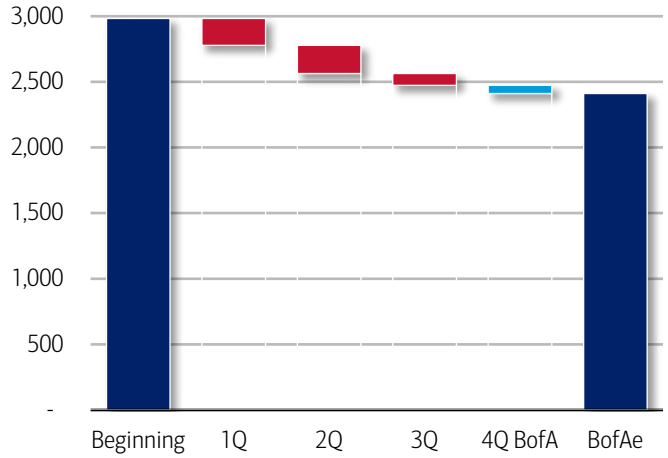
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Pace of deleveraging to slow

Without considering any yet to be announced inorganic activity, we project that the pace of Kosmos' deleveraging will slow from here (see Exhibit 3).

Within the release, Kosmos noted they are "on track" to achieve the ~20% net reduction target for 2026, expecting net debt to be <$2.4bn (leverage of towards 2.0x).

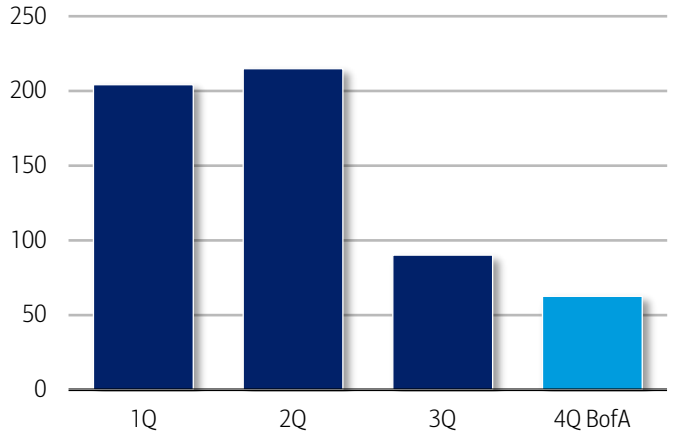
Exhibit 3: We see debt reduction slowing from here
Kosmos net debt reduction by quarter ($m)



Source: BofA Global Research estimates, company reports

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Exhibit 4: We see 4Q deleveraging slower than 3Q
Net debt reduction by quarter ($m)



Source: BofA Global Research estimates, company reports

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4Q26 outlook

Production guidance 16% below consensus

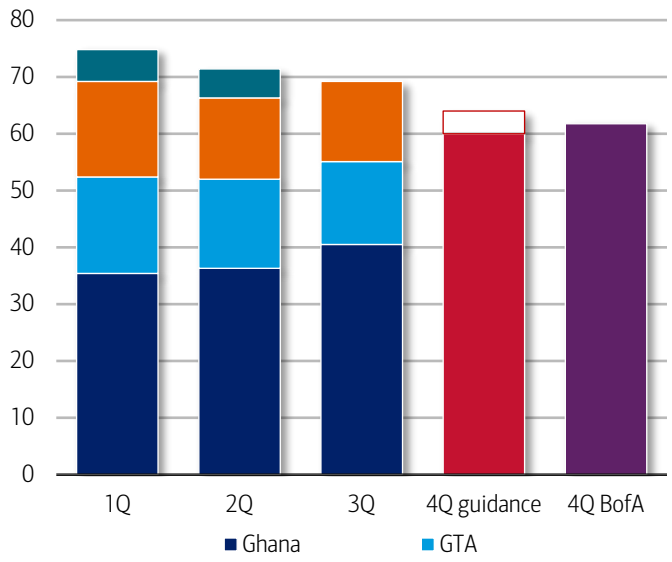
Alongside 3Q26 results, Kosmos also introduced 4Q26 guidance for the first time. New guidance implies FY26 production at the lower end of the previous range:

Kosmos guided to 60-64kboe/d of production in 4Q26. Combined with reported production through the first nine months, this implies FY26 production of ~69-70kboe/d, at the lower end of the previous 69-74kboe/d full-year guidance range and below Visible Alpha at 72.7kboe/d (implying a 16% delta at the midpoint of the newly issued guidance)– we now estimate production of ~62kboe/d for 4Q.

We point to the fact that this guidance now implies the 3rd quarter in a row of declining production for Kosmos with 1Q remaining the production peak (albeit also including Equatorial Guinea barrels prior to the disposal).

The lower 4Q production guide reflects lower Gulf of America production due to hurricane activity, Delta House maintenance and Kodiak workover in addition to some initial Jubilee decline post drilling.

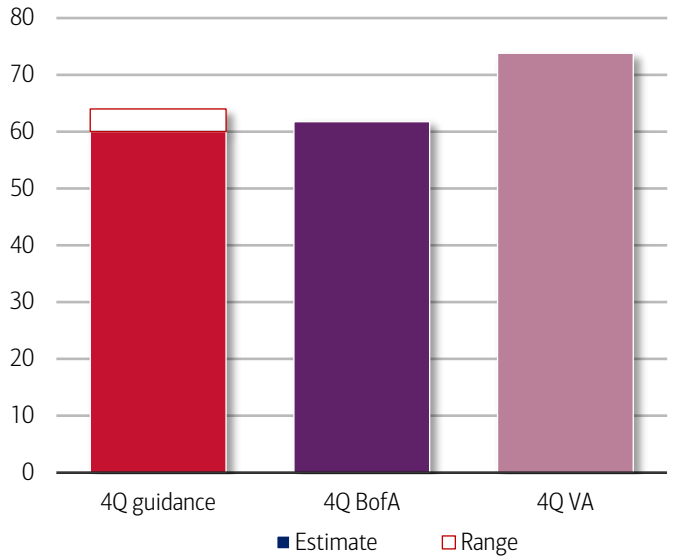
Exhibit 5: Production has declined every quarter YTD
Kosmos quarterly production by country (kboe/d)



Source: BofA Global Research estimates, Visible Alpha, company reports

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Exhibit 6: Aat the midpoint, new 4Q production guidance is 16% below existing consensus
Kosmos 4Q26 production guidance vs. BofA and VA consensus (kboe/d)



Source: BofA Global Research estimates, Visible Alpha, company reports

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Cost guidance mixed versus consensus

Kosmos's 4Q26 guidance comprises:

- Production: 60-64kboe/d versus Visible Alpha at 73.8kboe/d
- Opex: $18-20/boe versus Visible Alpha at $17.4/boe
- DD&A: $17.5-19.5/boe versus Visible Alpha at $16.5/boe
- G&A: $10-15m versus Visible Alpha at $21m
- Net interest: $50-55m versus Visible Alpha at $58m
- Tax: $11-15/boe versus Visible Alpha at $10.1/boe
- Capex: $50-75m versus Visible Alpha at $78m

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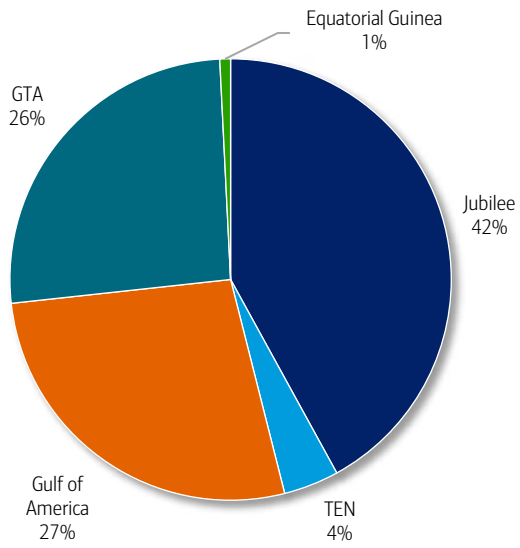
The outlook is therefore softer than consensus on production, opex, DD&A and tax, partly offset by lower expected G&A, interest and capex.

Tullow tax ruling reason for caution

The International Chamber of Commerce recently ruled that Tullow's petroleum agreements with the Ghanian authorities have not been breached by a $196.5m corporate income tax assessment relating to proceeds during 2016-19. It also ruled that penalties (100% of the tax assessment) fall outside the scope of the contractual protections in the petroleum agreements. This takes the total amount facing Tullow to $393m (versus current market cap of ~$200m).

In our view, resolving this issue with the Ghanian authorities will now become a primary focus for Tullow. As a result, we see potential for heightened operational risk as attention shifts from operational delivery towards penalty resolution and more difficult refinancing. Tullow is the operator of both the Jubilee and TEN fields in Ghana - making up >45% of Kosmos' 2026-30e production, on our numbers.

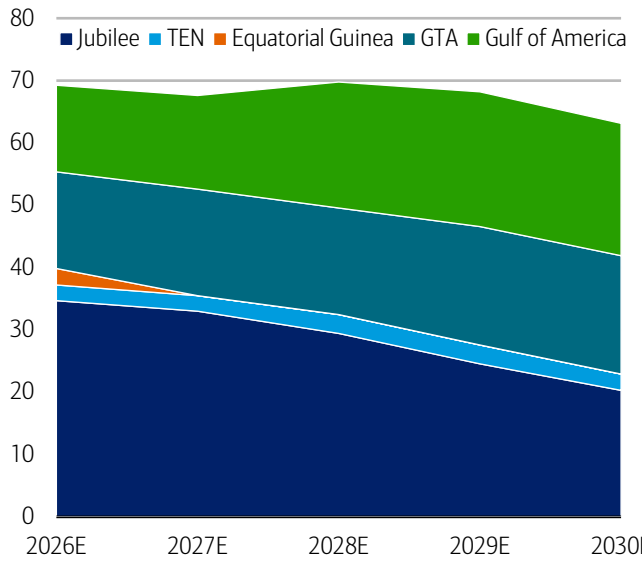
Exhibit 7: Ghana accounts for >45% of Group production to 2030e, on our numbers
Kosmos 2026-30e production by geography/asset



Source: BofA Global Research estimates

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Exhibit 8: Ghana contribution remains above 50% in 2027e
Kosmos 2026-30e production by geography/asset (kboe/d)



Source: BofA Global Research estimates

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Conference call colour: Jubilee in focus

When asked about the interest in increasing Kosmos' stake in Jubilee, CEO of Kosmos Andrew Inglis, commented that the "primary focus in Ghana is seeing sustained strong performance from the assets and in particular, Jubilee".

He also noted that "if there is a process ... which creates an opportunity to deepen our position in Jubilee, whether that's sort of directly through a deal or indirectly through pre-empting a deal, then it's something that we would consider in the future. ... but today we're not getting distracted by that".

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3Q26 results digest

Production beats consensus, but lower sales volumes

Kosmos delivered 3Q26 production of 69.2kboe/d, within its quarterly guidance range of 68-72kboe/d and ~3% above Visible Alpha consensus of 67.4kboe/d, although ~1% below BofA at 70kboe/d. Production declined ~3% from 71.4kboe/d in 2Q26 but increased ~6% y/y.

However, sales volumes were materially lower than production at ~62.4kboe/d, versus BofA at 66kboe/d and ~77kboe/d in 2Q26. As a result, Kosmos's underlift position increased to ~1.1mmboe at the end of 3Q26, from ~0.5mmboe at the end of 2Q26.

Production costs declined to ~$17.7/boe, towards the lower end of the $18-20/boe guidance range and below BofA at ~$19/boe. This compares with $25.6/boe in 2Q26, reflecting lower absolute costs from the Equatorial Guinea disposal and ongoing cost reductions.

EBITDAX misses consensus by ~19%

Adjusted EBITDAX amounted to $254m, ~19% below Visible Alpha consensus of $315m and ~22% below BofA at $324m. EBITDAX declined ~18% q/q.

Adjusted net income of $35m was also materially below expectations, missing Visible Alpha consensus of $93m by ~62% and BofA at $88m by ~60%

Organic CFFO miss partly offset by working capital

Organic CFFO, before working-capital movements, amounted to $134m, ~34% below Visible Alpha consensus of $204m and ~35% below BofA at $207m. This compares with $183m in 2Q26.

A ~$30m working-capital inflow, versus an expected ~$20m outflow at both BofA and Visible Alpha, lifted headline CFFO to ~$164m. This left headline CFFO ~11% below Visible Alpha consensus of $184m and ~12% below BofA at $187m.

Capex in line, but organic FCF misses materially

Accrued capex amounted to $85m, within Kosmos's $75-100m quarterly guidance range and broadly in line with Visible Alpha at $84m and BofA at $85m.

Kosmos-defined FCF amounted to ~$90m, broadly unchanged from ~$89m in 2Q26. The company's reported FCF calculation uses cash expenditure on oil and gas assets of ~$65m and includes approximately $9m of finance-lease payments.

Net debt ended 3Q26 at ~$2.47bn, down from ~$2.56bn at the end of 2Q26 and ~$2.98bn at YE25.

Exhibit 9: Despite production above VA consensus, earnings and cash flows were below expectations in 3Q26
Kosmos 3Q26 results vs. VA vs. BofA expectations

Kosmos 3Q26 (USDm)	3Q26A	BofA	VA cons	vs BofA	vs cons	2Q26	3Q25	q/q	y/y
Production (kboepd)	69.2	70.0	67.4	-1%	3%	71.4	65.5	-3%	6%
EBITDAX - adj.	254	324	315	-22%	-19%	312	154	-18%	66%
Net income - adj.	35	88	93	-60%	-62%	185	-124	-81%	-128%
CFFO (organic)	134	207	204	-35%	-34%	183	65	-27%	105%
Working capital flows	30	-20	-20	-251%	-251%	-8	-93	-490%	-132%
CFFO (headline)	164	187	184	-12%	-11%	175	-28	-6%	-695%
Organic cash capex	65	85	84	-24%	-23%	76	71	-16%	-10%
Free cash flow	99	102	100	-3%	-1%	99	-99	1%	-201%
Organic free cash flow	69	122	120	-43%	-42%	106	-6	-35%	-1264%

Source: BofA Global Research estimates, Visible Alpha, company reports

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What has changed?

Gap to consensus grows

With this report, we update our numbers for Kosmos 3Q26 results and updated guidance. As a result, we lower our production estimates for 2026 – reflecting the newly announced 4Q26 guidance range. As a result, we now sit 5% lower than consensus production for the year and remain below consensus out to the end of the decade (in our view a result of our more negative view on the prospects of a future phase of development at GTA). Even next year, we already see ~6% downside to consensus EBITDAX which translates into 10% organic CFFO downside.

Exhibit 10: With this report we fine tune our numbers post 3Q26 results and updated Kosmos guidance
What has changed? BofA changes and vs VA consensus ($m unless otherwise stated)

BofA vs VA	2025A	2026E	2027E	2028E	2029E	2030E
Production (kboe/d) - BofA old	61.4	71.8	67.6	69.8	68.2	63.1
Production (kboe/d) - BofA new	61.4	69.3	67.6	69.8	68.2	63.1
BofA revision	*0%*	*(4%)*	*0%*	*0%*	*0%*	*0%*
Production (kboe/d) - VA		72.7	71.8	74.1	73.8	74.3
BofA vs VA		*(5%)*	*(6%)*	*(6%)*	*(8%)*	*(15%)*
EBITDAX - BofA old	369	1,313	1,018	958	890	790
EBITDAX - BofA new	369	930	1,028	966	904	803
BofA revision	*0%*	*(29%)*	*1%*	*1%*	*2%*	*2%*
EBITDAX - VA		1,363	1,088	1,030	883	778
BofA vs VA		*(32%)*	*(6%)*	*(6%)*	*2%*	*3%*
Organic CFFO - BofA old	203	781	637	653	656	577
Organic CFFO - BofA new	203	571	656	665	665	585
BofA revision	*0%*	*(27%)*	*3%*	*2%*	*1%*	*1%*
Organic CFFO - VA		689	729	702	609	544
BofA vs VA		*(17%)*	*(10%)*	*(5%)*	*9%*	*7%*
Organic capex - BofA old	314	326	400	414	159	67
Organic capex - BofA new	314	301	400	414	159	67
BofA revision	*0%*	*(8%)*	*(0%)*	*(0%)*	*(0%)*	*(0%)*
Organic capex - VA		333	357	371	206	132
BofA vs VA		*(10%)*	*12%*	*11%*	*(23%)*	*(49%)*
Organic FCF - BofA old	(111)	455	238	239	497	510
Organic FCF - BofA new	(111)	270	257	251	506	517
BofA revision	*0%*	*(41%)*	*8%*	*5%*	*2%*	*1%*
Organic FCF - VA	0	356	372	331	403	412
BofA vs VA		*(24%)*	*(31%)*	*(24%)*	*26%*	*26%*

Source BofA Global Research estimates, Visible Alpha, company reports

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Valuation: PO to $1.70 (127p)

>30% downside potential to current share price

Following 3Q26 and after making a number of fine-tuning adjustments to our model we lower our PO to $1.70 (127p) from $1.90 (141p). This leaves >30% downside potential to the current share price. We therefore reiterate our Underperform rating.

We calculate that Ghana makes up >40% of Kosmos' enterprise value (excluding further 2C barrels), while GTA makes up ~30% and Gulf of America ~20%.

Exhibit 11: We revise our PO to $1.70 (127p)
Kosmos Energy net asset value valuation

in $m unless otherwise stated	Method c	Unrisked valuation	Chance of success	Risked valuation	% EV	Unrisked GBp/share	Risked GBp/share
Ghana	DCF	**1,436**	100%	**1,436**	**42%**	**2.42**	**2.42**
GTA	DCF	**997**	100%	**997**	**29%**	**1.68**	**1.68**
GoA	DCF	**736**	100%	**736**	**22%**	**1.24**	**1.24**
Eq. Guinea	DCF	**0**	100%	**0**	**0%**	**0.00**	**0.00**
2C	2C multiple	**600**	40%	**240**	**8%**	**1.01**	**0.40**
Total enterprise value		**3,768**		**3,408**	**100%**	**6.35**	**5.75**
(-) Net financial debt		(2,363)		(2,363)		**(3.98)**	**(3.98)**
(-) post-tax decommissioning liabilities	DCF	(39)		(39)		**(0.07)**	**(0.07)**
(=) Total equity value		**1,366**		**1,006**		**2.30**	**1.70**
Year-end shares outstanding (m)		593		593			
Equity value per share (USD)		**2.30**		**1.70**			

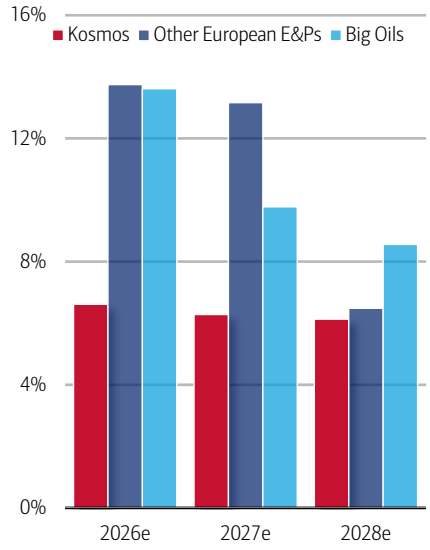
Source: BofA Global Research estimates

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Current price suggests unwarranted valuation premium

Across FCF/EV and EV/EBITDA we find that Kosmos Energy trades at a premium to other European E&Ps and, in fact, trades at closer multiples to European Big Oils. We think this is unjustified given (1) higher levels of indebtedness; (2) geopolitical risk; (3) operational risk from the likes of Ghana and GTA; and (4) its lack of dividend payments.

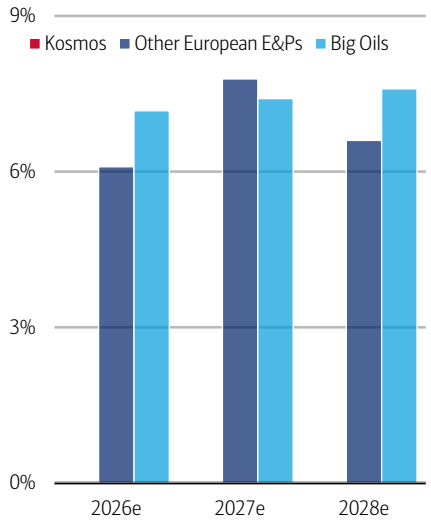
Exhibit 12: Kosmos generates lower FCF/EV than both E&Ps and Big Oils through 2028e
Kosmos vs. other E&Ps vs Big Oil FCF/EV



Source: BofA Global Research estimates

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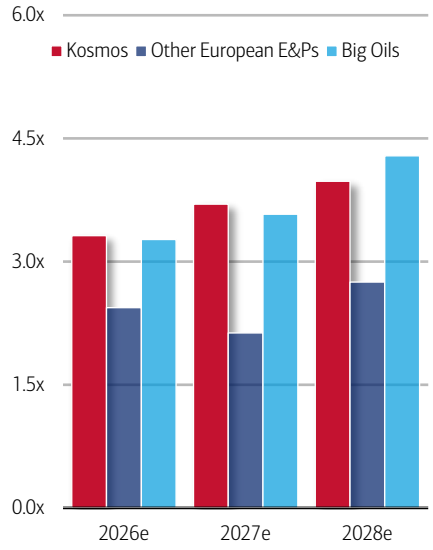
Exhibit 13: We don't see Kosmos reinstating dividends across the medium term
Kosmos vs. other E&Ps vs Big Oil distribution yields



Source: BofA Global Research estimates

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Exhibit 14: Kosmos' >3.5x 2027 EV/EBITDA implies a premium versus other E&Ps
Kosmos vs. other E&Ps vs Big Oil EV/EBITDA



Source: BofA Global Research estimates

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Equity story in brief

Caught in debt's orbit

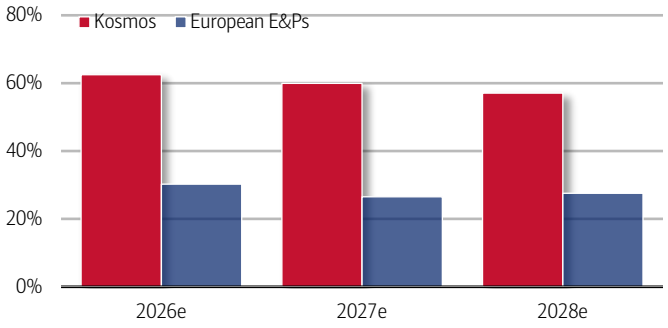
Earlier this year we reinstated coverage on Kosmos Energy at Underperform. For our full reinstatement report see Kosmos Energy: Caught in debt's orbit.

We do not see this year's elevated oil price as sufficient to transform Kosmos' story from one of debt to equity. Despite a ~20% decline in net debt y/y at YE26e, Kosmos remains the most levered E&P in the peer group, with net debt at YE26e still ~2x EBITDA and ~1.7x market cap. Consequently, we don't see a story worthy of an equity rerating.

Net debt down but still elevated versus peers

While we expect Kosmos' net debt to fall by 20% y/y at YE26e, we highlight this level remains elevated versus the company's European E&P peer group. It is at the high end of the peer group on: (1) net debt as a % current EV; (2) book value gearing (net debt/capital employed); and (3) leverage (net debt to EBITDA).

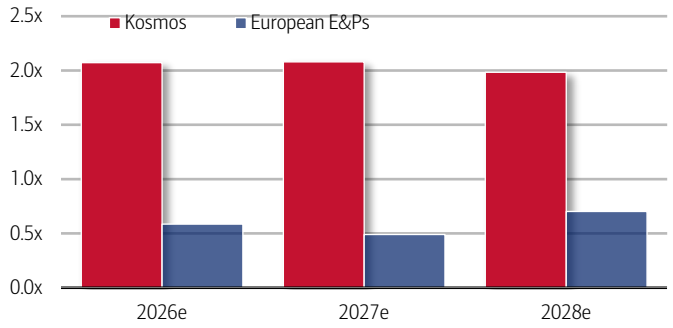
Exhibit 15: Despite deleveraging we still see a substantial gap to peers
Net debt as a % of EV



Source: BofA Global Research estimates
Using YE net debt figures (inclusive of lease liabilities)

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Exhibit 16: We see Kosmos remaining at >2x leverage at YE26, YE27 and YE28
Year-end leverage (net debt / EBITDA)

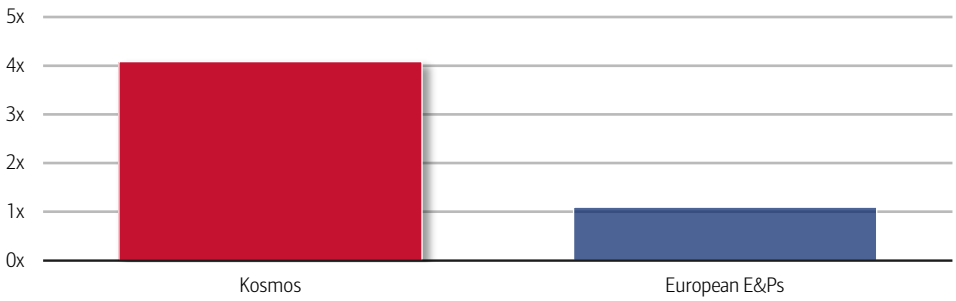


Source: BofA Global Research estimates
Using YE net debt figures (inclusive of lease liabilities)

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If we benchmark Kosmos' starting net debt coming into 2026 versus organic free cash flow generation between 2026 and 2028, its net debt is still higher than peers, despite its cash flow beta to elevated commodity price:

Exhibit 17: Kosmos net debt appears high even to cash flow despite beta to commodity prices
YE25 net debt versus 2026 to 2027 organic free cash flow generation



Source: BofA Global Research estimates
Using YE net debt figures (inclusive of lease liabilities)

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Price objective basis & risk

Kosmos Energy (KOS / XKELF)
Our US$1.70/share (127p/share) is based on a full asset life DCF. We derive our equity valuation once deducting net financial debt as well as decommissioning liabilities. We use a long-term oil price of $70 and a 12% discount rate.

Downside risks to our PO: A lower oil price than forecast, unexpected production issues, development delay or cost overruns.

Upside risks to our PO: A higher oil price than forecast, high production efficiency, development cost savings or exploration success.

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EMEA - Oil & Gas Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	Energean	EERGF	ENOG LN	Matthew Smith
	Energean	XMQFF	ENOG IT	Matthew Smith
	Equinor ASA	STOHF	EQNR NO	Christopher Kuplent
	Equinor ASA	EQNR	EQNR US	Christopher Kuplent
	Galp Energia	GLPEF	GALP PL	Matthew Smith
	GTT	GZPZF	GTT FP	Matthew Smith
	Harbour Energy	PMOIF	HBR LN	Cian Evans-Cowie
	Saipem	SAPMF	SPM IM	Matthew Smith
	Tenaris	TS	TS US	Matthew Smith
	Tenaris	TNRSF	TEN IM	Matthew Smith
	TotalEnergies	TTFNF	TTE FP	Christopher Kuplent
	TotalEnergies	TTE	TTE US	Christopher Kuplent
	Vallourec	VLOUF	VK FP	Matthew Smith
NEUTRAL				
	Eni	E	E US	Christopher Kuplent
	Eni	EIPAF	ENI IM	Christopher Kuplent
	Ithaca Energy plc	ITHLF	ITH LN	Cian Evans-Cowie
	Shell plc	SHEL	SHEL US	Christopher Kuplent
	Shell Plc	RYDAF	SHEL LN	Christopher Kuplent
	Technip Energies	THNPF	TE FP	Matthew Smith
	Var Energi	VREAF	VAR NO	Matthew Smith
UNDERPERFORM				
	Aker BP	DETNF	AKRBP NO	Matthew Smith
	BP plc	BP	BP US	Christopher Kuplent
	BP plc	BPAQF	BP/ LN	Christopher Kuplent
	EnQuest	ENQUF	ENQ LN	Cian Evans-Cowie
	Kosmos Energy	KOS	KOS US	Cian Evans-Cowie
	Kosmos Energy	XKELF	KOS LN	Cian Evans-Cowie
	Neste	NTOIF	NESTE FH	Christopher Kuplent
	Neste	NTOIY	NTOIY US	Christopher Kuplent
	OMV	OMVJF	OMV AV	Christopher Kuplent
	Repsol	REPYY	REPYY US	Christopher Kuplent
	Repsol	REPYF	REP SM	Christopher Kuplent
	Serica Energy plc	SQZZF	SER LN	Cian Evans-Cowie
	Tullow Oil	TUWLF	TLW LN	Cian Evans-Cowie

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EMEA - Oil & Gas Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst

iQmethod℠ Measures Definitions

Business Performance	Numerator	Denominator
Return On Capital Employed	NOPAT = (EBIT + Interest Income) × (1 – Tax Rate) + Goodwill Amortization	Total Assets – Current Liabilities + ST Debt + Accumulated Goodwill Amortization
Return On Equity	Net Income	Shareholders' Equity
Operating Margin	Operating Profit	Sales
Earnings Growth	Expected 5 Year CAGR From Latest Actual	N/A
Free Cash Flow	Cash Flow From Operations – Total Capex	N/A
Quality of Earnings	**Numerator**	**Denominator**
Cash Realization Ratio	Cash Flow From Operations	Net Income
Asset Replacement Ratio	Capex	Depreciation
Tax Rate	Tax Charge	Pre-Tax Income
Net Debt-To-Equity Ratio	Net Debt = Total Debt – Cash & Equivalents	Total Equity
Interest Cover	EBIT	Interest Expense
Valuation Toolkit	**Numerator**	**Denominator**
Price / Earnings Ratio	Current Share Price	Diluted Earnings Per Share (Basis As Specified)
Price / Book Value	Current Share Price	Shareholders' Equity / Current Basic Shares
Dividend Yield	Annualised Declared Cash Dividend	Current Share Price
Free Cash Flow Yield	Cash Flow From Operations – Total Capex	Market Cap = Current Share Price × Current Basic Shares
Enterprise Value / Sales	EV = Current Share Price × Current Shares + Minority Equity + Net Debt + Other LT Liabilities	Sales
EV / EBITDA	Enterprise Value	Basic EBIT + Depreciation + Amortization

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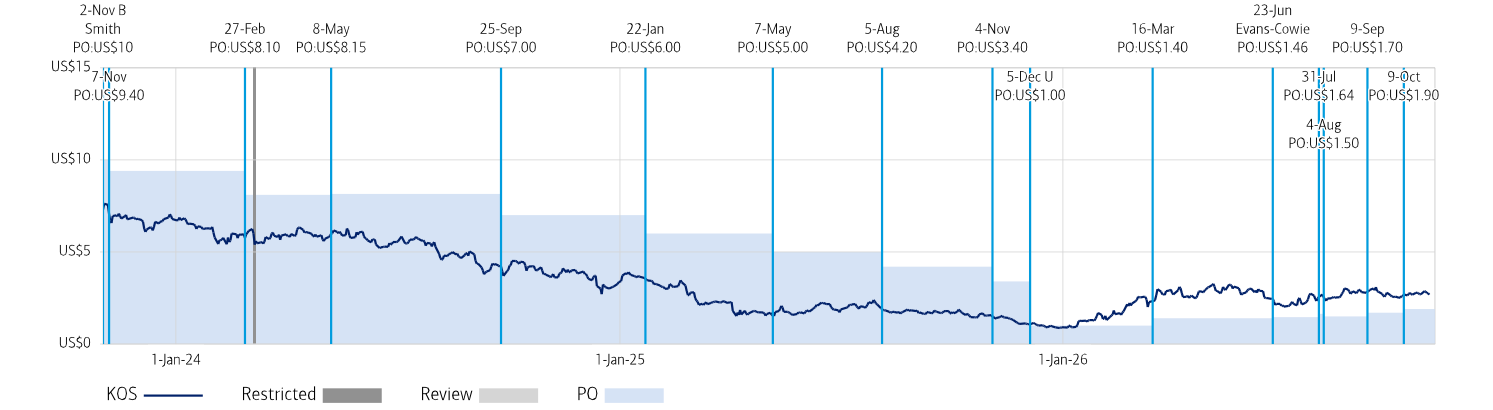
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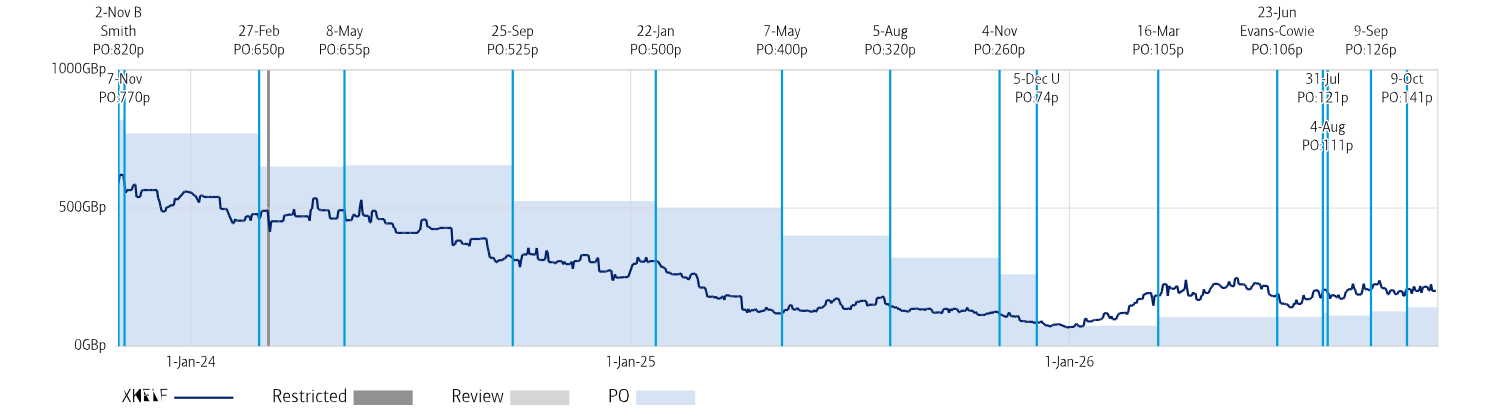
Kosmos Energy (KOS) Price Chart



B: Buy, N: Neutral, U: Underperform, PO: Price Objective, NA: No longer valid, NR: No Rating

The Investment Opinion System is contained at the end of the report under the heading "Fundamental Equity Opinion Key". Dark grey shading indicates the security is restricted with the opinion suspended. Medium grey shading indicates the security is under review with the opinion withdrawn. Light grey shading indicates the security is not covered. Chart is current as of a date no more than one trading day prior to the date of the report.

Kosmos Energy (XKELF) Price Chart



B: Buy, N: Neutral, U: Underperform, PO: Price Objective, NA: No longer valid, NR: No Rating

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Equity Investment Rating Distribution: Energy Group (as of 30 Sep 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships [R1]	Count	Percent
Buy	73	59.35%	Buy	60	82.19%
Hold	22	17.89%	Hold	19	86.36%
Sell	28	22.76%	Sell	22	78.57%

Equity Investment Rating Distribution: Global Group (as of 30 Sep 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships [R1]	Count	Percent
Buy	2057	57.03%	Buy	1386	67.38%
Hold	806	22.35%	Hold	563	69.85%
Sell	744	20.63%	Sell	446	59.95%

[R1] Issuers that were investment banking clients of BofA Securities or one of its affiliates within the past 12 months. For purposes of this Investment Rating Distribution, the coverage universe includes only stocks. A stock rated Neutral is included as a Hold, and a stock rated Underperform is included as a Sell.

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Investment rating	Total return expectation (within 12-month period of date of initial rating)	Ratings dispersion guidelines for coverage cluster[R2]
Buy	≥ 10%	≤ 70%
Neutral	≥ 0%	≤ 30%
Underperform	N/A	≥ 20%

[R2]Ratings dispersions may vary from time to time where BofA Global Research believes it better reflects the investment prospects of stocks in a Coverage Cluster.

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